Cavco Industries (NASDAQ:CVCO)

Long Recommendation
2025 PT: $496 (39% upside)
R/R: 2.6x

February 9th, 2024

Kameron Little, Camden Roberts, Giancarlo Valle

Business Overview

Cavco is one of the largest high-quality modular home manufacturers in the nation

General Overview

- Cavco is an American factory home building company
- Operates primarily in Florida, Texas, & Arizona
- Cavco has an in-house financing and insurance branch making it a one stop shop for home-buyers
- Average home sale of $106k

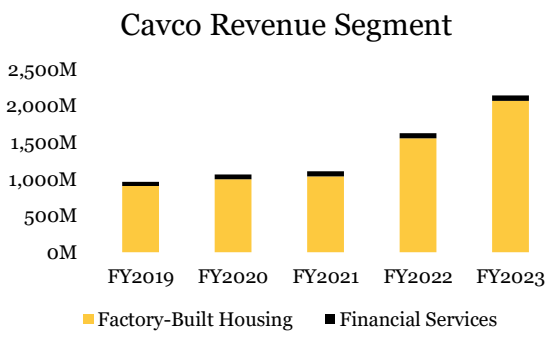
Key Stats

- 23% Gross Margins
- 13% EBITDA Margins
- 12% EBIT Margins
- 19 Manufacturing facilities
- 3% D/E
- 50mm un-drawn revolver
- $290mm of share repurchases in past two years

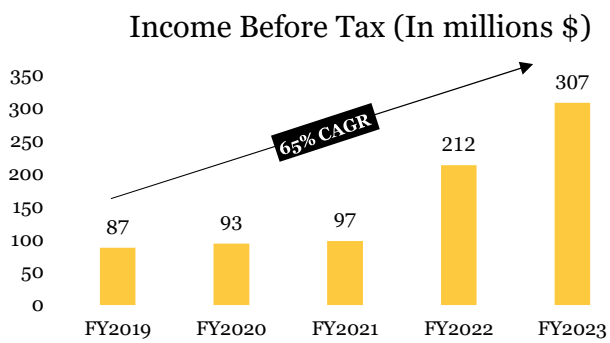
Cap Table

($ in millions)	2/7/2024
Share Price	$ 349
FDSO	8.3
Market Capitalization	**$ 2,897**
Plus: Debt	38
Less: Cash & Cash Equivalents	369
Enterprise Value	**$ 2,566**

Segment Revenue



5 year EBT growth



Geographic Breakdown

Industry Overview

Modular home manufacturing is highly concentrated and has high barriers to entry

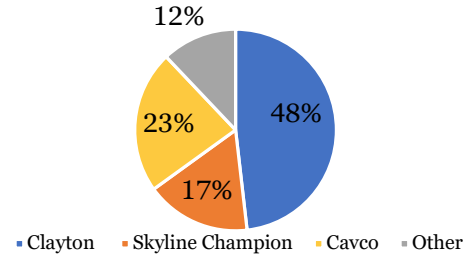
Competitors

Industry Outlook

2024 – 2029

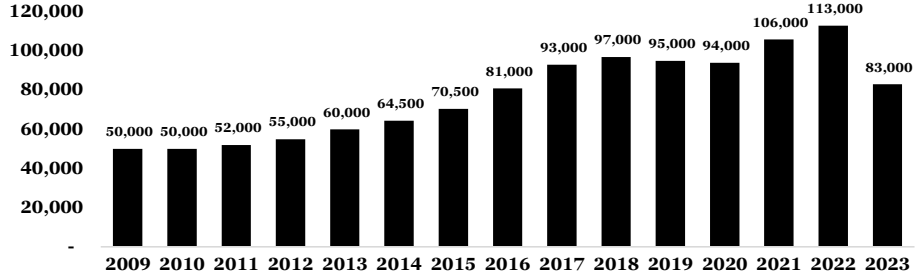
Market Share

Manufactured Home Builders Market Share



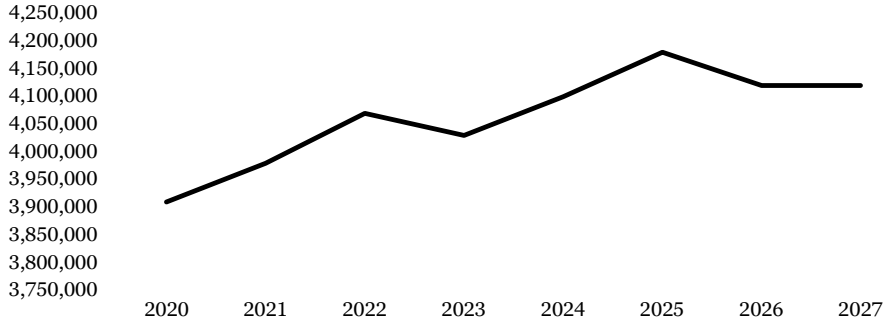
Industry Growth

Manufactured Housing Industry Annual Shipments



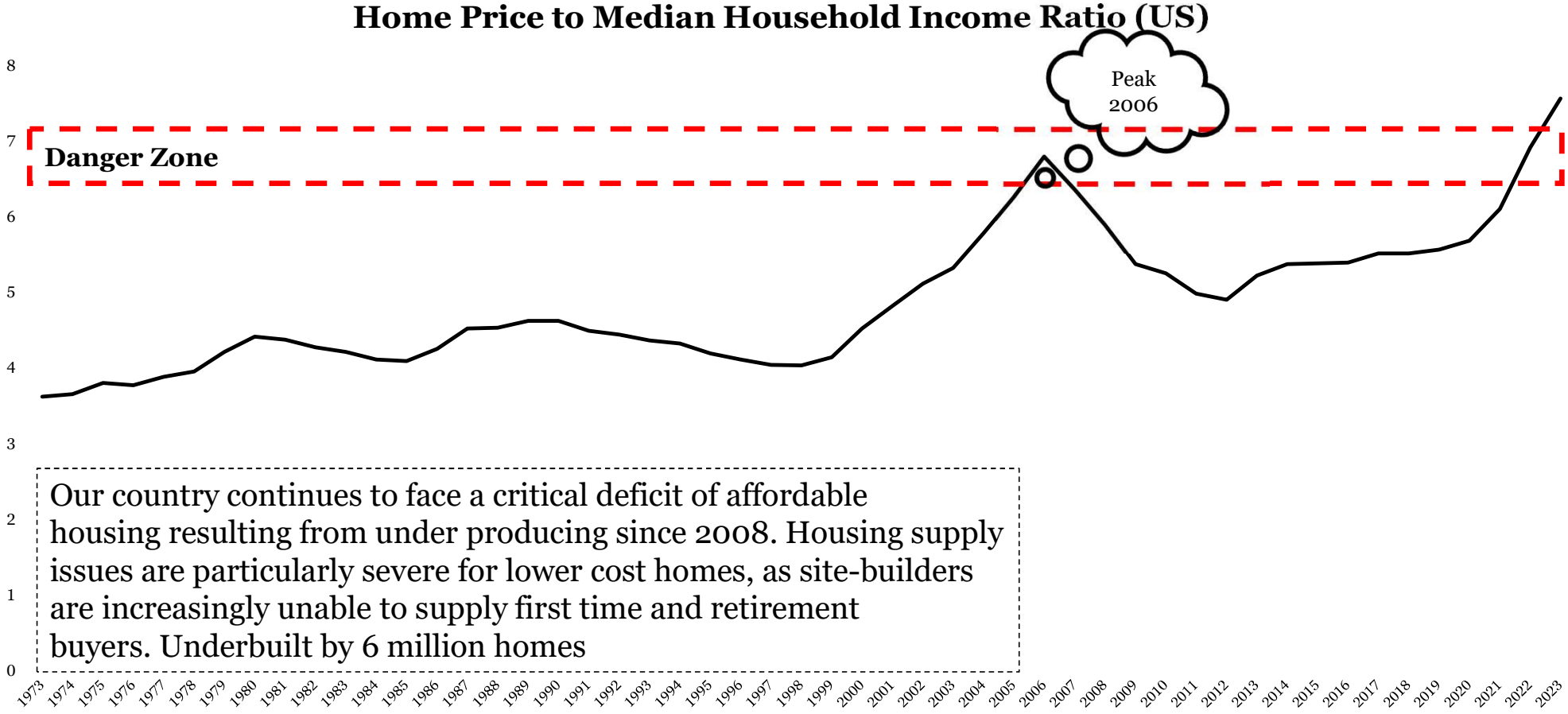
Aging Population

Americans Turning 65



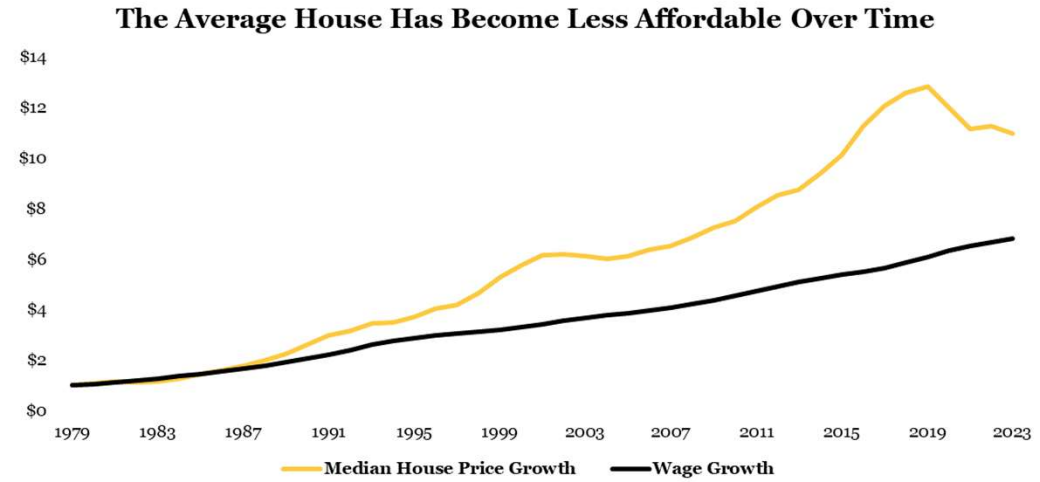
The Problem

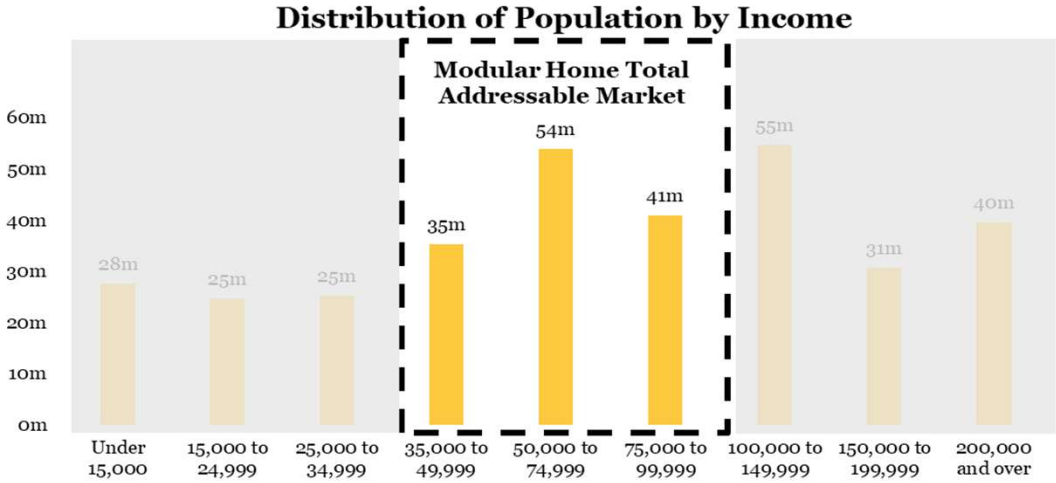
Something has to give... and Americans are not earning more



Our country continues to face a critical deficit of affordable housing resulting from under producing since 2008. Housing supply issues are particularly severe for lower cost homes, as site-builders are increasingly unable to supply first time and retirement buyers. Underbuilt by 6 million homes

Rising Costs Increasing Opportunity





Seizing the Opportunity

The average American has been priced out of the median home

There is a growing need for affordable housing solutions

Cavco's target market includes nearly 40% of the population based on income

Much of the industry's total addressable market remains untapped

What are you paying for at $349?

- Using a Reverse DCF we are able to back into what is currently priced in at $349 per share
- This dramatically under-appreciates Cavco's ability to operate in a crisis market waiting to happen

Revenue slows at 4% CAGR

Cavco loses 50% of it's market share over 5 years

5-8mil of excess CAPX per year does not translate into top line growth

Street does not account for Energy Star Rebate

Reverse DCF Model

($ in millions)			Year 0	Year 1	Year 2	Year 3	Year 4	Year 5
Revenue			$2,142	$2,242	$2,346	$2,456	$2,570	$2,690
% Growth Rate	% 5-Year CAGR	4.7%		4.7%	4.7%	4.7%	4.7%	4.7%
EBIT			$257	$269	$282	$295	$308	$323
% EBIT Margin			12.0%	12.0%	12.0%	12.0%	12.0%	12.0%
Less: Taxes	% Tax Rate	21.0%	(54)	(56)	(59)	(62)	(65)	(68)
NOPAT			**$203**	**$213**	**$222**	**$233**	**$244**	**$255**
% NOPAT Margin			9.5%	9.5%	9.5%	9.5%	9.5%	9.5%
Plus: D&A	% Capex	60.0%	26	27	28	29	31	32
Less: Capex	% Revenue	2.0%	(43)	(45)	(47)	(49)	(51)	(54)
Less: Change in NWC	% Revenue	(2.2%)	(47)	(49)	(52)	(54)	(57)	(59)
Free Cash Flow to Firm (FCFF)			**$139**	**$145**	**$152**	**$159**	**$167**	**$174**
Discount Factor	% WACC	8.8%		0.5	1.5	2.5	3.5	4.5
Present Value of FCFF				**$139**	**$134**	**$129**	**$124**	**$119**

Implied DCF Valuation

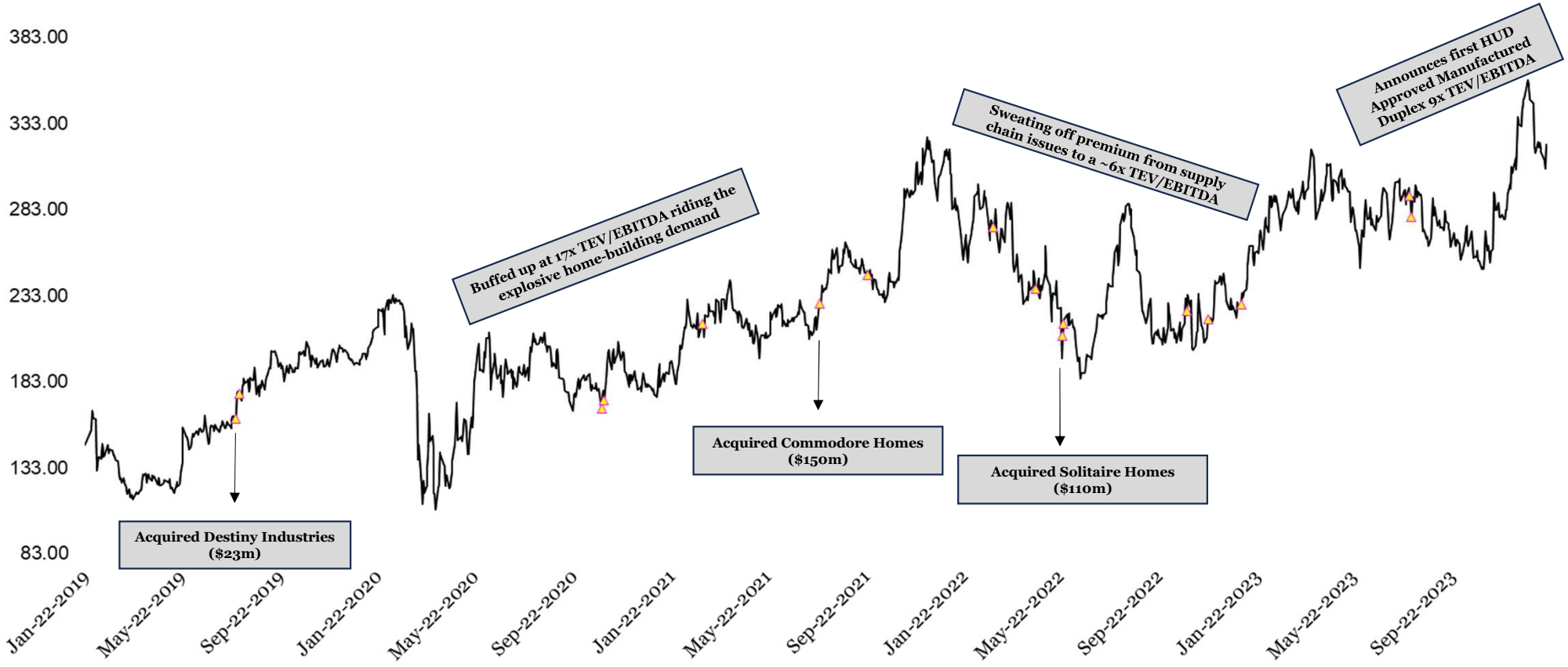
Present Value of FCFFs	$645
Long-Term Growth Rate	2.5%
Final Year FCF × (1 + g)	$179
Terminal Value in Final Year	$2,836
Present Value of Terminal Value	$1,940
Total Enterprise Value (TEV)	**$2,586**
Less: Net Debt	(311)
Equity Value	**$2,897**

Share Price Calculation

Diluted Shares Outstanding (mm)	8
Implied Share Price	$349.00
Current Market Share Price	$349.00
Implied Growth Rate	**4.7%**

We aren't convinced...

How did we get here?



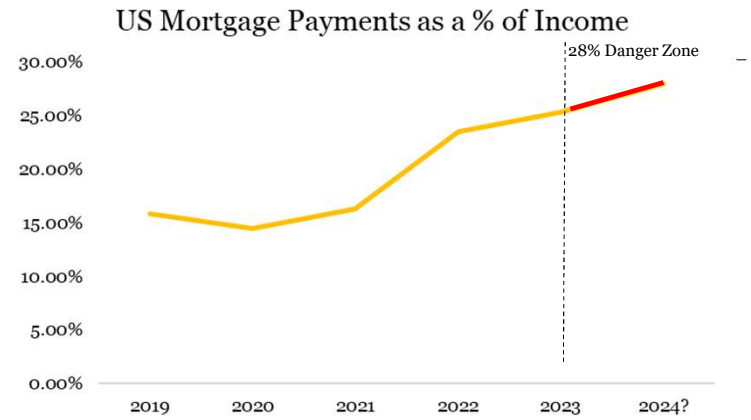
Investment Set Up

1

Something needs to give

- The gap between **US Savings rates** and **Median Home prices** is **4x** its historical average. Almost **2x** 2006 levels
- Americans are spending **25%** of their income on Mortgage Payments nearing the key level of **28%** where **defaults kick in**. Historical averages are around **15%**
- Supply shortages on homes and Baby Boomers refusing to sell homes is keeping home prices steady

Americans can't afford homes

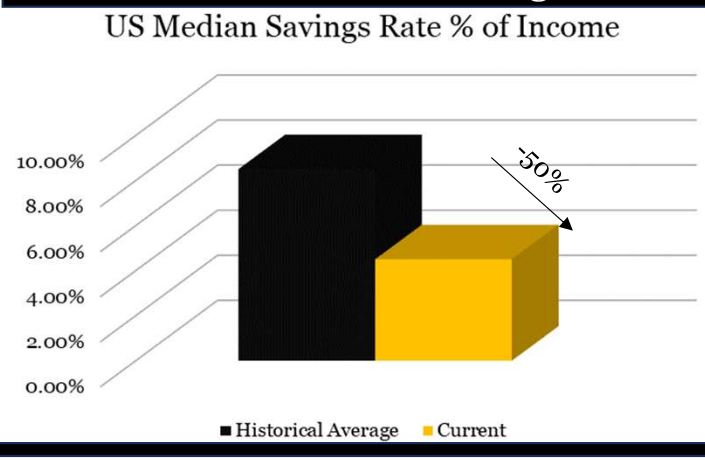


2

Blurry Sell Side Coverage

- Sell Side modeling **does not** incorporate first HUD Approved manufactured duplex's as part of model
- Street models **revenue to fall 13% in 2024** and expects demand to decrease. Street also keeps 2025 revenue flat
- CEO said on earnings call "I do not give guidance"
- Street does not know about **Energy Star Rebates**

Sound the alarm on savings rates



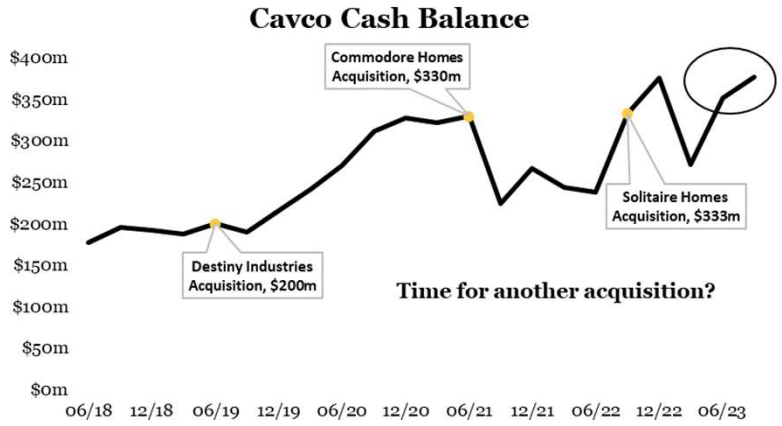
3

Opportunity for take off

- Cavco factories are operating at a **60% utilization rate** allowing them to capture any income demand
- Share price implies that Cavco will **shave off its 23% market share** in 2023 to mid teens
- Historically Cavco has been **very active** in acquisitions, generally Cavco made an acquisition when cash balance was > 300mm. We are currently at **369mm**
- Street overlooks the possibility of a strategic acquisition to boost duplex sales

Possibility of an Acquisition

Cavco's cash pile-up



Great news for investors

Announcement Date	Target	Intraday Price Movement
7/29/2019	Destiny Industries	9.1%
7/26/2021	Commodore Homes	(0.4%)
10/27/2022	Solitaire Homes	4.2%

Strategic M&A

% Accretion/ Dilution	After 2 quarters	After 1 year	After 2 years
Destiny Industries	(42.8%)*	(28.4%)*	78.6%
Commodore Homes	43.3%	103.4%	17.4%

*During Covid

Expect an acquisition

- Cavco has consistently demonstrated a strategic approach to acquisitions, possibly driven by its increasing cash reserves. Currently, the company possesses a substantial cash surplus, suggesting that another acquisition could be on the horizon.
- Historical patterns indicate that previous acquisitions have resulted in favorable outcomes for investors, marked by significant price fluctuations following the announcements. This pattern indicates a potential opportunity for equity investors to capitalize on any forthcoming acquisitions by Cavco.

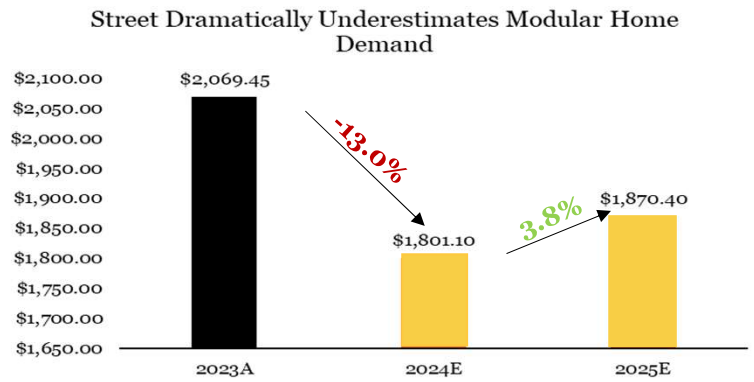
Premise 1: Blurry Sell Side Coverage

Street Expectations of Cavco are comprised of ***three analysts***

We spoke with the analysts…

- November version of model had 2024E revenue at $1801mm (-13% decline from 2023 revenue)
- December 12th Cavco reveals to the public the first HUD-Approved Manufactured Duplex
- Most updated 2024 revenue expectations did not change…
- No mention of increased rebates in 2024
- No mention of traditional housing unaffordability

Analyst Revenue Expectations



Sell Side in the dark

- Our contacts at the factory guided that rebate percentages per home will go from 20-30% of homes to 100% by EOY
- The $2500 credit is straight to the bottom line and no analysts are aware of it

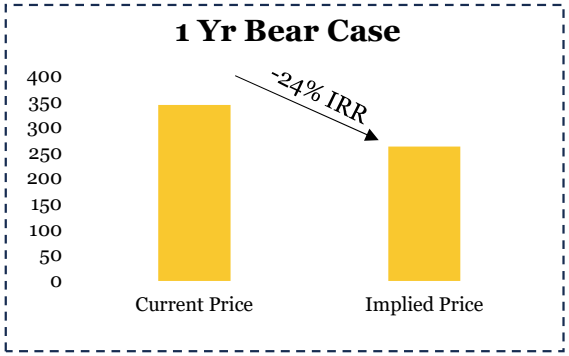
History of unreliability

- 2/3 analyst's have not updated their models in a year
- Q3 every analyst undershot revenue by 30M, and 2/3 analysts operating income missed by 10%
- Q2 every analyst deviated from actual by +-15%

Premise 2: Sell Side Ignores Sensitivity to Home Prices

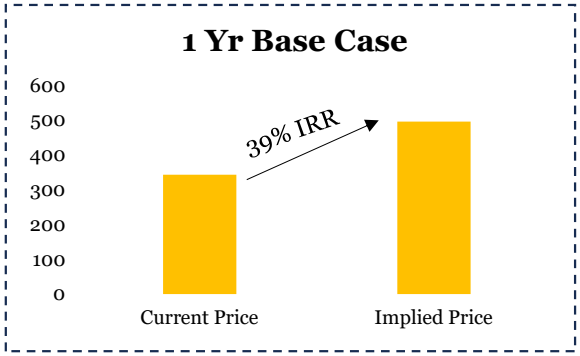
Home Prices Fall

- Street overestimates potential risk case for Cavco
- Cavco downside is hedged by **only** losing buyers that now are buying modular homes (TAM is skewed in Cavco's favor)
- If home prices fall 25% in 2024 we see this as the worst case and an **–11%** shrink in modular home deliveries (74k)
- Keeping the same market share, Cavco's homes delivered would be ~17k
- A worst case scenario shows a -24% IRR



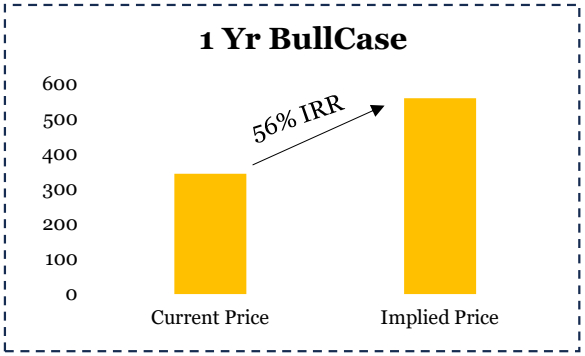
Home Prices Stay Flat

- Street Ignores key level of **28%** Income to Mortgage Rate
- We assumed that Revenue was **BELOW** Street Estimates (Conservative)
- Implied Share Price still shows **42%** upside with no revenue gain
- Street fails to address the immense benefit from rebate scaling in 2023
- Rebates basically allow for Cavco to slack on delivery but cover losses and blow past street estimates with rebates



Home Prices Rise

- If home prices rise, street fails to take into account that home buyers that have been essentially priced out of the market
- We expect that Cavco's **60%**'s utilization rate can ramp up to **90%**
- Cavco will play the demand game with little to no CAC costs essentially carving out a new market
- Rebates plus new demand will send the share price upward



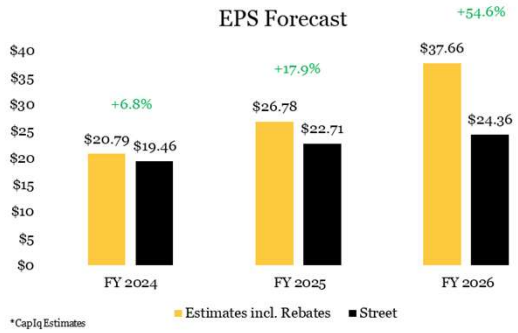
Premise 3: Investigative Journalism

We toured the factory…

26 U.S. Code § 45L

- *The applicable amount equal to $2500 per qualified new energy efficient home (Exp 2032)*
- Sell Side Models have **NOTHING** about rebates
- 10K is sneaky and only has two sentences about it…

Street EPS estimates are low



Street does not know about the Energy Star Rebates

"20 – 30% of our homes are getting the **Energy Star Rebates**, by the end of the year we will be at **100%**" - **Cavco Factory General Manager**

We were part of Q3 2024 Earnings Call and asked the CEO a question…

Conference Call Participants

Daniel Moore - CJS Securities

Danny Eggerichs - Craig-Hallum

Jay McCanless - Wedbush Securities

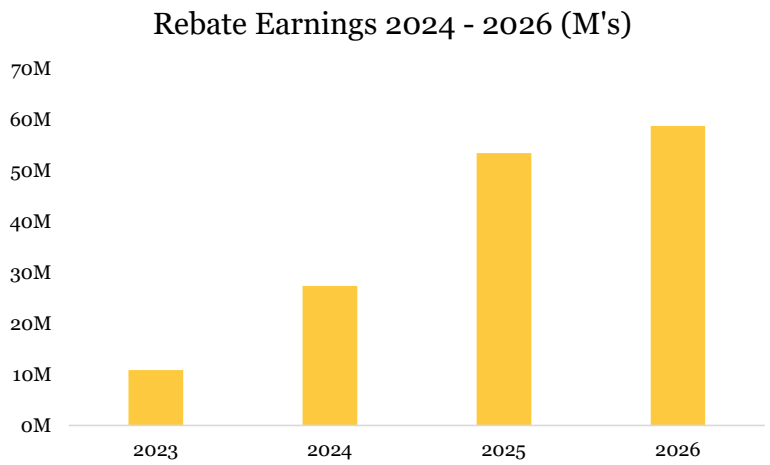
Camden Roberts - University of South Carolina

Operator

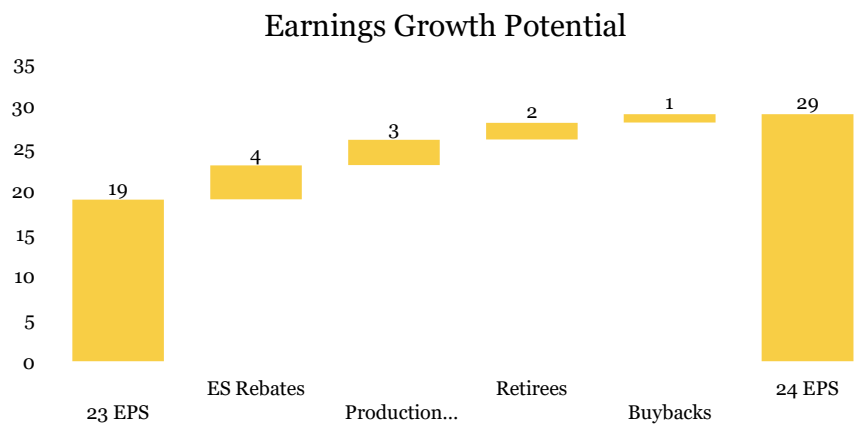
And one moment for our next question. Our next question will be coming from Camden Roberts of University of South Carolina. Camden, your line is open.

Valuation

Street's Miss of Rebate Earnings



Bridge to 2024 EPS



What would revenue have to be for Street EPS to reflect the new rebates?

- Revenue would have to be $1364.02 (mm's) in order to reflect rebates and achieve 22.71 eps (3 analyst consensus)
- Again you run into a huge problem when street consensus is $1874!
- Huge discrepancy + grey area = High Growth

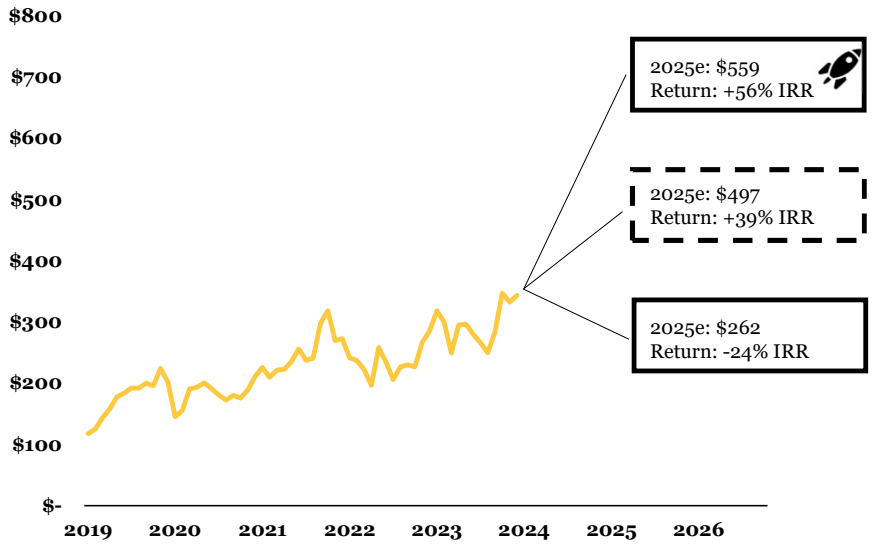
Key Takeaways

- Street is completely in the dark about ramping up ES Rebates by EOY
- Our contacts at Cavco believe that rebates will hover near 100% by end of year essentially giving Cavco a margin of safety of +-30% revenue fall or huge upside if revenue expectations are merely met
- All additional catalysts that we cited would only amplify this

Investment Summary

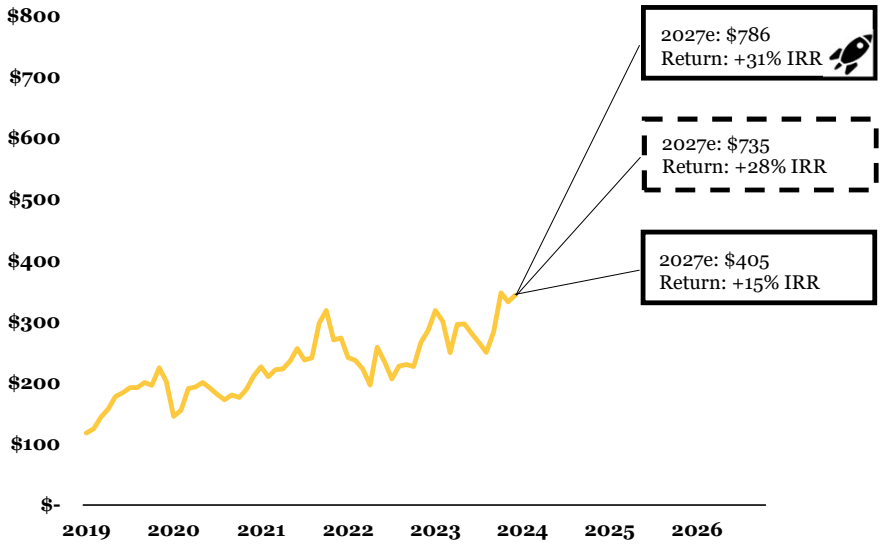
Catalyst: Next 3 Earning Calls

1Y Price Target (2025)	Downside	Base	Upside
EPS	$15.41	$29.20	$32.89
Multiple	17.00x	17.00x	17.00x
Share Price	**$261.95**	**$496.41**	**$559.17**
MOIC (X)	0.75x	1.42x	1.60x
% IRR	-24%	39%	56%



3y Price Target

3Y Price Target (2027)	Downside	Base	Upside
EPS	$23.86	$43.28	$46.25
Multiple	17.00x	17.00x	17.00x
Share Price	**$405.61**	**$735.75**	**$786.19**
MOIC (X)	1.16x	2.11x	2.25x
% IRR	15%	28%	31%



Risks & Mitigants

Risks:	Mitigants:
Competition within modular home builders ➢ Clayton's economies of scale could eat away at Cavco's margins ➢ Competitors could also gain HUD approval and Energy Star rebates	➢ Due to Cavco's superior customizability, we see community developers scaling up their orders from Cavco ➢ Cavco's competitive advantage lies in their niche customizability ➢ Cavco generally is seen as a "premium" modular home and operates in different markets than Clayton/Skyline
Demand Dries Up ➢ Low demand could put Cavco in a spot where it is over-producing	➢ The unknown Energy-Star rebates can cover a 30% drop in sales to yield the same revenue as the street ➢ Cavco's institutional demand provides a steady mass production order cycle making managing idle time easier
High Interest Rate Environment ➢ High interest rates could decrease demand for houses ➢ Low home prices would decrease the need for low-income housing	➢ Consumers traditionally find it harder to find financing for modular homes. Luckily, Cavco provides in-house financing and insurance to mitigate this risk ➢ With a history of cash-only acquisitions, CVCO poses the capacity to continue that legacy of accretive acquisitions while targeting peers who are substantially more leveraged

Appendix I

Setup 1: Home Prices Fall 30%	Historicals				Projected		
	2020A	2021A	2022A	2023A	2024E	2025E	2026E
Revenue	$999.34	$1,037.89	$1,556.28	$2,069.45	$1,331.98	$1,640.09	$1,900.00
% growth	10.0%	3.9%	49.9%	33.0%	-35.6%	23.1%	15.8%
EBIT	$83.41	$88.09	$201.79	$295.70	$113.22	$139.41	$161.50
% margin	8.35%	8.49%	12.97%	14.29%	8.50%	8.50%	8.50%
% growth		5.6%	129.1%	46.5%	-61.7%	23.1%	15.8%
Interest Income					14.65	18.04	20.90
Rebates (Tax Credit)					26.88	48.16	53.94
Taxes					-0.02	-15.10	-15.64
Net Income					$ 127.89	$ 172.54	$ 198.04
FDSO					8.30	8.30	8.30
EPS					15.41	20.79	23.86

Appendix II

Setup 2: Home Prices Stay	Historicals				Projected		
	2020A	2021A	2022A	2023A	2024E	2025E	2026E
Revenue	$999.34	$1,037.89	$1,556.28	$2,069.45	$1,802.50	$2,244.87	$2,518.74
% growth	10.0%	3.9%	49.9%	33.0%	-12.9%	24.5%	12.2%
EBIT	$83.41	$88.09	$201.79	$295.70	$252.35	$314.28	$352.62
% margin	8.35%	8.49%	12.97%	14.29%	14.00%	14.00%	14.00%
% growth		5.6%	129.1%	46.5%	-14.7%	24.5%	12.2%
Interest Income					19.83	24.69	27.71
Rebates (Tax Credit)					27.34	33.39	36.73
Taxes					29.81	37.80	43.14
Net Income					$ 242.36	$ 301.18	$ 337.19
FDSO					$8.30	$8.30	$8.30
EPS					29.20	36.29	40.62

Appendix III

Setup 3: Home Prices Rise	Historicals				Projected		
	2020A	2021A	2022A	2023A	2024E	2025E	2026E
Revenue	$999.34	$1,037.89	$1,556.28	$2,069.45	$2,178.42	$2,516.08	$2,965.31
% growth	10.0%	3.9%	49.9%	33.0%	5.3%	15.5%	17.9%
EBIT	$83.41	$88.09	$201.79	$295.70	$283.19	$327.09	$385.49
% margin	8.35%	8.49%	12.97%	14.29%	13.00%	13.00%	13.00%
% growth		5.6%	129.1%	46.5%	-4.2%	15.5%	17.9%
Interest Income					23.96	27.68	32.62
Rebates (Tax Credit)					30.35	31.87	33.46
Taxes					34.15	42.63	54.34
Net Income					$ 273.01	$ 312.13	$ 363.77
FDSO					$8.30	$8.30	$8.30
EPS					32.89	37.61	43.83

Appendix IV – Historical Income Statement

Income Statement						
For the Fiscal Period Ending	March 30, 2019	March 28, 2020	April 3, 2021	April 2, 2022	April 1, 2023	LTM 12 months Dec-30-2023
Currency	*USD*	*USD*	*USD*	*USD*	*USD*	*USD*
Revenue	905.7	999.3	1,037.9	1,556.3	2,069.5	1,828.4
Financial Services	57.0	62.4	70.2	70.9	73.3	76.5
Other Revenue	-	-	-	-	-	-
Total Revenue	**962.7**	**1,061.8**	**1,108.1**	**1,627.2**	**2,142.7**	**1,851.10**
Revenue Growth		*10.3%*	*4.4%*	*46.8%*	*31.7%*	*(13.6%)*
Cost Of Goods Sold	757.0	831.3	869.1	1,184.0	1,545.9	1,353.20
Financial Services	3.4	1.5	0.7	55.1	63.2	72.4
Gross Profit	**202.3**	**229.0**	**238.2**	**388.1**	**533.6**	**425.5**
Gross Margin	*21.0%*	*21.6%*	*21.5%*	*23.8%*	*24.9%*	*23.0%*
Selling General & Admin Exp.	121.6	145.6	150.2	186.3	237.9	231.5
R & D Exp.	-	-	-	-	-	-
Depreciation & Amort.	-	-	-	-	-	-
Other Operating Expense/(Income)	-	-	-	-	-	-
Other Operating Exp., Total	**121.6**	**145.6**	**150.2**	**186.3**	**237.9**	**231.5**
Operating Income	**80.7**	**83.4**	**88.1**	**201.8**	**295.7**	**194**
Operating Margin	*8.4%*	*7.9%*	*7.9%*	*12.4%*	*13.8%*	*10.5%*
Interest Expense	-	-	-	-	-	-
Interest and Invest. Income	6.3	8.4	2.1	4.5	10.7	19.6
Net Interest Exp.	**6.3**	**8.4**	**2.1**	**4.5**	**10.7**	**19.6**
Other Non-Operating Inc. (Exp.)	-	-	(1.7)	-	(0.5)	0.4
EBT Excl. Unusual Items	**87.0**	**91.8**	**88.5**	**206.3**	**305.9**	**214**
Impairment of Goodwill	-	-	-	-	-	-
Gain (Loss) On Sale Of Invest.	(0.4)	(2.3)	8.5	5.5	0.6	0.6
Gain (Loss) On Sale Of Assets	0.1	3.4	(0.1)	0.2	0.3	0.3
Other Unusual Items	-	-	-	-	-	-
EBT Incl. Unusual Items	**86.7**	**93.0**	**96.9**	**212.0**	**306.8**	**214.8**
Net Income Tax Expense	18.1	17.9	20.3	14.2	65.9	43.5
Energy Star Tax Credits						
Earnings from Cont. Ops.	**68.6**	**75.1**	**76.6**	**197.7**	**240.8**	**171.3**
Earnings of Discontinued Ops.	-	-	-	-	-	-
Extraord. Item & Account. Change	-	-	-	-	-	-
Net Income to Company	**68.6**	**75.1**	**76.6**	**197.7**	**240.8**	**171.3**
Minority Int. in Earnings	-	-	-	0	(0.3)	(0.1)
Net Income	**68.6**	**75.1**	**76.6**	**197.7**	**240.6**	**171.2**
Net Margin	*7.1%*	*7.1%*	*6.9%*	*12.1%*	*11.2%*	*9.2%*

Appendix V – Forward-Looking Income Statement

Income Statement									
For the Fiscal Period Ending									
	Q4 FY 2024	**FY 2024**	**Q1 FY 2025**	**Q2 FY 2025**	**Q3 FY 2025**	**Q4 FY 2025**	**FY 2025**	**April 1, 2026**	**Scenario**
Currency	***USD***	***USD***	***USD***	***USD***	***USD***	***USD***	***USD***	***USD***	***Base***
Revenue	448.1	1,766.2	479.8	428.5	406.2	479.9	1,794.4	1,921.1	
Financial Services	17.9	74.4	19.2	17.1	16.2	19.2	71.8	76.8	
Other Revenue									
Total Revenue	**466.0**	**1,840.6**	**499.0**	**445.7**	**422.5**	**499.1**	**1,866.2**	**1,998.0**	
Revenue Growth									
Cost Of Goods Sold	336.2	1,327.8	360.0	334.2	312.8	360.0	1,367.0	1,422.4	
Financial Services	18.0	71.0	19.3	17.9	16.7	19.3	73.1	76.1	
Gross Profit	**111.8**	**441.7**	**119.8**	**93.6**	**92.9**	**119.8**	**426.1**	**499.5**	
Gross Margin	*24.0%*	*24.0%*	*24.0%*	*21.0%*	*22.0%*	*24.0%*	*22.8%*	*25.0%*	
Selling General & Admin Exp.	55.9	239.3	59.9	49.0	46.5	54.9	211.5	239.8	
R & D Exp.	–	–	–	–	–	–	–	–	
Depreciation & Amort.	–	–	–	–	–	–	–	–	
Other Operating Expense/(Income)	–	–	–	–	–	–	–	–	
	–	–	–	–	–	–	–	–	
Other Operating Exp., Total	**55.9**	**239.3**	**59.9**	**49.0**	**46.5**	**54.9**	**211.5**	**239.8**	
Operating Income	**55.9**	**202.5**	**59.9**	**44.6**	**46.5**	**64.9**	**214.6**	**259.7**	
Operating Margin	*12.0%*	*11.0%*	*12.0%*	*10.0%*	*11.0%*	*13.0%*	*11.5%*	*13.0%*	
Interest Expense	–	–	–	–	–	–	–	–	
Interest and Invest. Income	8.6	8.6	8.6	8.6	8.6	8.6	8.6	8.6	
Net Interest Exp.	**8.6**	**8.6**	**8.6**	**8.6**	**8.6**	**8.6**	**8.6**	**8.6**	
Other Non-Operating Inc. (Exp.)	0.1	0.4	0.1	0.1	0.1	0.1	0.4	0.4	
EBT Excl. Unusual Items	**64.6**	**211.5**	**68.6**	**53.3**	**55.2**	**73.6**	**223.6**	**268.8**	
Impairment of Goodwill	–	–	–	–	–	–	–	–	
Gain (Loss) On Sale Of Invest.	–	–	–	–	–	–	–	–	
Gain (Loss) On Sale Of Assets	–	–	–	–	–	–	–	–	
Other Unusual Items	–	–	–	–	–	–	–	–	
EBT Incl. Unusual Items	**64.6**	**211.5**	**68.6**	**53.3**	**55.2**	**73.6**	**223.6**	**268.8**	
Net Income Tax Expense	10.9	34.1	7.9	2.3	1.2	3.2	1.0	7.5	
Energy Star Tax Credits	(2.2)	(8.7)	(6.0)	(8.5)	(10.0)	(11.7)	(44.3)	(46.9)	
Earnings from Cont. Ops.	**53.8**	**177.4**	**60.7**	**51.0**	**54.0**	**70.4**	**222.6**	**261.3**	
Earnings of Discontinued Ops.	–	–	–	–	–	–	–	–	
Extraord. Item & Account. Change	–	–	–	–	–	–	–	–	
Net Income to Company	**53.8**	**177.4**	**60.7**	**51.0**	**54.0**	**70.4**	**222.6**	**261.3**	
Minority Int. in Earnings	(0.0)	(0.1)	(0.0)	(0.0)	(0.0)	(0.0)	(0.1)	(0.1)	
Net Income	**53.8**	**177.3**	**60.7**	**50.9**	**54.0**	**70.4**	**222.5**	**261.2**	
Net Margin	*11.5%*	*9.6%*	*12.2%*	*11.4%*	*12.8%*	*14.1%*	*11.9%*	*13.1%*	

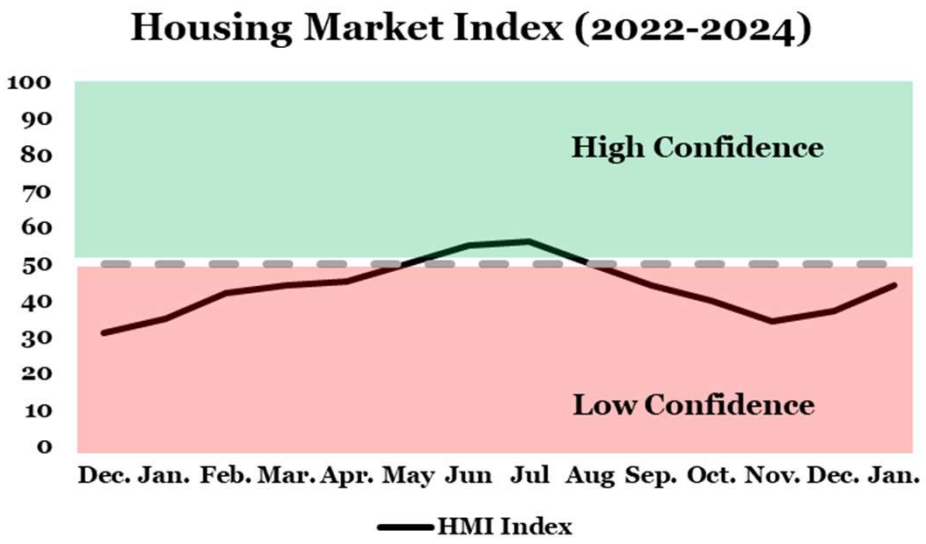
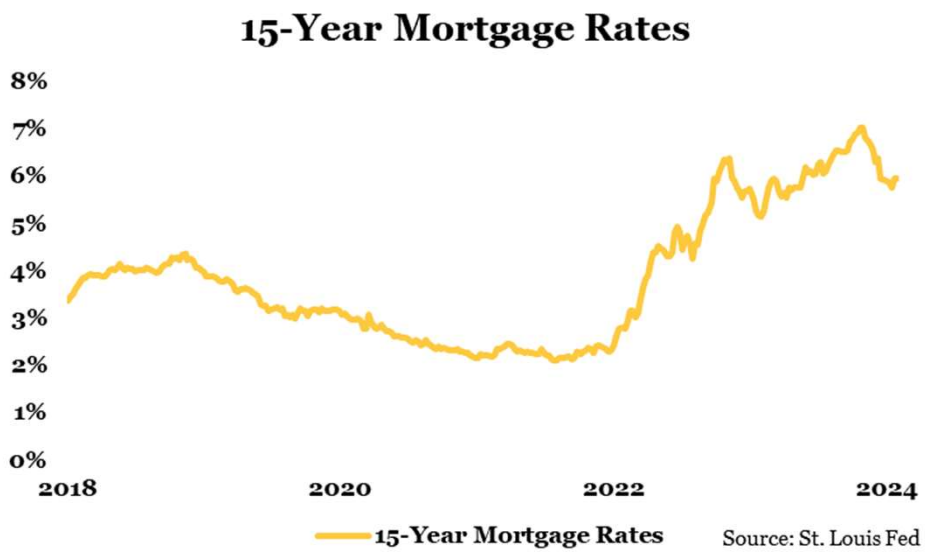
Appendix VI – Balance Sheet

Balance Sheet									
For the Fiscal Period Ending	March 30, 2019	March 28, 2020	April 3, 2021	April 2, 2022	April 1, 2023	LTM 12 months Sep-30-2023	April 1, 2024	April 1, 2025	April 1, 2026
Currency	*USD*	*USD*	*USD*	*USD*	*USD*	*USD*	*USD*	*USD*	*USD*
ASSETS									
Cash And Equivalents	187.4	241.8	322.3	244.2	271.4	377.3	438.5	636.9	875.5
Short Term Investments	12.6	14.6	19.5	20.1	15.0	14.4	14.4	14.4	14.4
Total Cash & ST Investments	**200.0**	**256.4**	**341.8**	**264.2**	**286.4**	**391.6**	**452.9**	**651.2**	**889.8**
Accounts Receivable	40.7	42.8	47.4	96.1	89.3	88.6	88.1	89.3	95.6
Total Receivables	**40.7**	**42.8**	**47.4**	**96.1**	**89.3**	**88.6**	**88.1**	**89.3**	**95.6**
Inventory	116.2	113.5	131.2	244.0	263.2	244.5	239.9	247.0	257.0
Prepaid Exp.	43.2	40.7	56.3	69.6	90.0	68.8	68.4	69.4	74.3
Finance Div. Loans and Leases,	45.3	47.8	56.9	53.3	61.1	61.0	60.7	61.5	65.9
Restricted Cash	12.1	13.4	16.7	14.8	11.7	17.2	17.1	17.3	18.5
Other Current Assets	4.6	1.5	1.4	2.2	2.9	3.8	3.7	3.8	4.1
Total Current Assets	**462.0**	**516.2**	**651.8**	**744.1**	**804.6**	**875.4**	**930.8**	**1,139.5**	**1,405.1**
Gross Property, Plant & Equipm	91.4	123.7	150.5	227.8	316.2	327.2	346.5	366.0	387.0
Accumulated Depreciation	(27.9)	(32.6)	(37.5)	(46.8)	(61.1)	(69.1)	(68.7)	(69.7)	(74.6)
Net Property, Plant & Equipn	**63.5**	**91.1**	**113.0**	**181.0**	**255.0**	**258.1**	**277.8**	**296.4**	**312.4**
Long-term Investments	32.1	31.6	35.0	34.9	18.6	20.5	20.5	20.5	20.5
Goodwill	72.9	75.1	75.1	101.0	114.5	116.0	116.0	116.0	116.0
Other Intangibles	9.8	15.1	14.4	28.5	29.8	29.0	29.0	29.0	29.0
Finance Div. Loans and Leases,	84.5	81.1	62.2	65.2	85.1	69.2	69.2	69.2	69.2
Other Long-Term Assets	0.4	0.3	0.3	0.3	0.3	0.6	0.6	0.6	0.6
Total Assets	**725.2**	**810.4**	**951.8**	**1,155.0**	**1,308.0**	**1,368.8**	**1,443.8**	**1,671.1**	**1,952.8**
LIABILITIES									
Accounts Payable	29.3	29.9	32.1	43.1	30.7	41.1	40.3	41.5	43.2
Accrued Exp.	40.8	35.7	49.9	72.8	70.0	69.2	68.8	69.7	74.7
Curr. Port. of LT Debt	19.5	2.2	1.8	–	–	–	–	–	–
Curr. Port. of Leases	1.1	0.1	0.1	–	–	–	–	–	–
Curr. Income Taxes Payable	1.8	-	-	–	–	–	–	–	–
Unearned Revenue, Current	18.3	20.6	22.6	24.9	27.9	30.4	30.3	30.7	32.9
Other Current Liabilities	63.2	83.6	130.6	153.4	164.8	164.8	163.8	166.1	177.8
Total Current Liabilities	**174.0**	**172.1**	**237.1**	**294.2**	**293.4**	**305.5**	**303.2**	**308.1**	**328.6**
Long-Term Debt	14.6	12.4	10.1	4.9	1.9	1.7	1.7	1.7	1.7
Long-Term Leases	-	11.0	13.6	19.1	27.6	36.7	36.7	36.7	36.7
Def. Tax Liability, Non-Curr.	7.0	7.3	7.4	5.5	7.6	5.7	5.7	5.7	5.7
Other Non-Current Liabilities	-	-	-	-	-	-	–	–	–
Total Liabilities	**195.6**	**202.8**	**268.2**	**323.7**	**330.5**	**349.5**	**347.3**	**352.1**	**372.6**
Common Stock	0.1	0.1	0.1	0.1	0.1	0.1	0.1	0.1	0.1
Additional Paid In Capital	249.4	252.3	253.8	263.0	272.0	274.2	274.2	274.2	274.2
Retained Earnings	280.1	355.1	431.1	628.8	869.3	957.2	1,134.5	1,357.0	1,618.1
Treasury Stock	-	-	(1.4)	(61.0)	(164.5)	(211.6)	(311.6)	(311.6)	(311.6)
Comprehensive Inc. and Other	0	0.1	0.1	(0.4)	(0.6)	(0.6)	(0.60)	(0.60)	(0.60)
Total Common Equity	**529.6**	**607.6**	**683.6**	**830.5**	**976.3**	**1,019.3**	**1,096.6**	**1,319.1**	**1,580.2**
Minority Interest	-	-	-	0.8	1.2	–	–	–	–
Total Equity	**529.6**	**607.6**	**683.6**	**831.3**	**977.5**	**1,019.3**	**1,096.6**	**1,319.1**	**1,580.2**
Total Liabilities And Equity	**725.2**	**810.4**	**951.8**	**1,155.0**	**1,308.0**	**1,368.8**	**1,443.8**	**1,671.2**	**1,952.8**
Check	–	–	–	–	–	–	–	–	–

Appendix VII – Cash Flow Statement

Cash Flow									
For the Fiscal Period Ending	March 30, 2019	March 28, 2020	April 3, 2021	April 2, 2022	April 1, 2023	LTM 12 months Sep-30-2023	April 1, 2024	April 1, 2025	April 1, 2026
Currency	*USD*	*USD*	*USD*	*USD*	*USD*	*USD*	*USD*	*USD*	*USD*
Net Income	**68.6**	**75.1**	**76.6**	**197.7**	**240.6**	**194.7**	**177.3**	**222.5**	**261.2**
Depreciation & Amort.	4.4	5.2	5.6	9.6	14.8	16.0	(0.4)	1.0	4.9
%	0.48%	0.52%	0.54%	0.62%	0.72%	0.87%	-0.02%	0.05%	0.26%
Amort. of Goodwill and Intangibles	0.3	0.6	0.7	1.4	2.1	1.9	–	–	–
Depreciation & Amort., Total	**4.7**	**5.8**	**6.3**	**11.0**	**16.9**	**17.9**	**(0.4)**	**1.0**	**4.9**
(Gain) Loss From Sale Of Assets	(0.1)	(3.4)	0.1	(0.2)	(0.3)	(0.2)	–	–	–
(Gain) Loss On Sale Of Invest.	(9.2)	(11.0)	(22.0)	(18.4)	(12.3)	(13.3)	–	–	–
Provision for Credit Losses	0.6	-	-	-	-	-	–	–	–
(Income) Loss on Equity Invest.	-	-	-	-	4.3	4.3	–	–	–
Stock-Based Compensation	3.4	3.9	4.4	5.1	6.3	5.7	–	–	–
Provision & Write-off of Bad debts	-	1.3	(1.2)	(0.3)	(0.5)	(0.5)	–	–	–
Other Operating Activities	(1.7)	(1.2)	(3.0)	(3.3)	1.9	(1.8)	–	–	–
Change in Acc. Receivable	(5.7)	(1.4)	(4.6)	(27.3)	10.2	10.9	0.5	(1.2)	(6.3)
Change In Inventories	(7.1)	8.3	(17.7)	(73.8)	38.9	48.5	4.6	(7.1)	(10.0)
Change in Acc. Payable	4.7	6.4	47.2	38.2	(13.4)	(18.7)	(0.8)	1.2	1.7
Change in Other Net Operating Assets	(25.4)	17.9	27.8	15.5	(36.9)	5.2	(0.6)	1.6	8.1
Cash from Ops.	**32.8**	**101.7**	**114.0**	**144.2**	**255.7**	**253.0**	**180.6**	**217.9**	**259.5**
Capital Expenditure	(7.6)	(14.3)	(25.5)	(18.7)	(44.1)	(19.4)	(19.3)	(19.6)	(20.9)
Sale of Property, Plant, and Equipment	0.1	6.5	0.2	1.3	1.8	5.9	–	–	–
Cash Acquisitions	-	(15.9)	-	(141.4)	(105.7)	(107.0)	–	–	–
Divestitures	-	-	-	-	-	-	–	–	–
Invest. in Marketable & Equity Securt.	1.7	(1.5)	1.9	(0.3)	18.6	19.6	–	–	–
Net (Inc.) Dec. in Loans Originated/Sold	-	-	-	-	-	-	–	–	–
Other Investing Activities	-	-	-	-	-	-	–	–	–
Cash from Investing	**(5.8)**	**(25.2)**	**(23.3)**	**(159.1)**	**(129.3)**	**(100.8)**	**(19.3)**	**(19.6)**	**(20.9)**
Short Term Debt Issued	-	-	-	-	-	-	–	–	–
Long-Term Debt Issued	0.4	0.2	0.1	0.1	-	-	–	–	–
Total Debt Issued	**0.4**	**0.2**	**0.1**	**0.1**	**-**	**-**	**–**	**–**	**–**
Short Term Debt Repaid	-	-	-	-	-	-	–	–	–
Long-Term Debt Repaid	(26.7)	(19.9)	(2.8)	(9.4)	(0.6)	-	–	–	–
Total Debt Repaid	**(26.7)**	**(19.9)**	**(2.8)**	**(9.4)**	**(0.6)**	**(0.5)**	**–**	**–**	**–**
Issuance of Common Stock	-	-	2.7	4.4	3.7	3.0	–	–	–
Repurchase of Common Stock	-	-	(6.9)	(59.9)	(104.5)	(107.1)	(100.0)	–	–
Total Dividends Paid	**-**	**-**	**-**	**-**	**-**	**-**	**($100)**	**–**	**–**
Special Dividend Paid	-	-	-	-	-	-	–	–	–
Other Financing Activities	(0.1)	(1.1)	-	(0.4)	(0.8)	(0.6)	–	–	–
Cash from Financing	**(26.4)**	**(20.8)**	**(7.0)**	**(65.1)**	**(102.2)**	**(105.2)**	**–**	**–**	**–**
Net Change in Cash	**0.6**	**55.7**	**83.7**	**(80.0)**	**24.2**	**46.9**	**61.3**	**198.4**	**238.6**

Appendix VIII – Comps

Company Comp Set												
Company Name	LTM Gross Margin %	LTM EBITDA Margin %	LTM EBIT Margin %	LTM Net Income Margin %	LTM Total Revenues, 1 Yr Growth %	LTM EBITDA, 1 Yr Growth %	LTM EBIT, 1 Yr Growth %	LTM Net Income, 1 Yr Growth %	LTM Total Debt/Capital %	LTM Total Debt/EBITDA	NTM LT EPS Growth Rate (Capital IQ)	5 Year Beta
Skyline Champion Corporation (NYSE:SKY)	26.7%	13.5%	11.9%	10.18%	(28.08%)	(54.66%)	(58.23%)	(53.20%)	6.88%	0.4x	22.50%	1.5
Legacy Housing Corporation (NasdaqGS:LEGH)	44.2%	34.3%	33.5%	29.04%	(1.28%)	7.88%	8.06%	8.85%	3.38%	0.2x	-	0.94
Nobility Homes, Inc. (OTCPK:NOBH)	34.2%	21.7%	21.5%	17.46%	44.79%	100.03%	102.79%	86.85%	-	-	-	0.35
Cavco Industries, Inc. (NasdaqGS:CVCO)	23.0%	11.5%	10.5%	9.25%	(14.77%)	(35.18%)	(37.73%)	(30.65%)	3.90%	0.2x	22.50%	1.1
Summary Statistics	LTM Gross Margin %	LTM EBITDA Margin %	LTM EBIT Margin %	LTM Net Income Margin %	LTM Total Revenues, 1 Yr Growth %	LTM EBITDA, 1 Yr Growth %	LTM EBIT, 1 Yr Growth %	LTM Net Income, 1 Yr Growth %	LTM Total Debt/Capital %	LTM Total Debt/EBITDA	NTM LT EPS Growth Rate (Capital IQ)	5 Year Beta
High	44.2%	34.3%	33.5%	29.04%	44.79%	100.03%	102.79%	86.85%	6.88%	0.4x	22.50%	1.5
Low	26.7%	13.5%	11.9%	10.18%	(28.08%)	(54.66%)	(58.23%)	(53.20%)	3.38%	0.2x	22.50%	0.35
Mean	35.0%	23.2%	22.3%	18.89%	5.14%	17.75%	17.54%	14.17%	5.13%	0.3x	22.50%	0.93
Median	34.2%	21.7%	21.5%	17.46%	(1.28%)	7.88%	8.06%	8.85%	5.13%	0.3x	22.50%	0.94

Appendix IX – Housing Market